

EPack Prefab Technologies Ltd

NSE: EPACKPEB | BSE: 544540

Industrials | Capital Goods | Pre-Engineered Buildings & Prefab

"From factory to foundation: EPack's integrated speed-first PEB model positions it to capture disproportionate share of India's Rs. 25,000+ Cr organised PEB market as industrial, data centre and renewable capex accelerates."

RATING

BUY

12-Month Target

Rs. 330

Upside from CMP

+24.1%

Horizon: 12 months

Key Metrics

CMP (10 Jul 2026)	Rs. 266	Market Cap	Rs. 2,672 Cr
52-W High / Low	Rs. 344 / 132	Face Value	Rs. 2.00
P/E (TTM)	28.8x	Forward P/E	22.0x
EV/EBITDA	14.1x	EV	Rs. 2,501 Cr
Book Value	Rs. 73.0	P/BV	3.64x
ROCE	21.7%	ROE	17.0%
Debt	Rs. 115 Cr	D/E	0.16x
Promoter Hold.	64.96%	Pledge	0.00%
Dividend Yield	0.00%	Int. Coverage	4.89x
Rev CAGR (3Yr)	32%	PAT CAGR (5Yr)	58%

* FY24 EPS adjusted to post-split FV Rs. 2 basis for comparability. E = Analyst estimates.

Year	Revenue (Rs.Cr)	EBITDA (Rs.Cr)	OPM%	PAT (Rs.Cr)	EPS (Rs.)	P/E (x)	EV/EBITDA (x)
FY24A	905	87	10%	43	5.4*	49.3x	28.7x
FY25A	1,134	116	10%	59	7.65	34.8x	21.6x
FY26A	1,525	160	10.5%	93	9.21	28.9x	15.6x
FY27E	1,980	205	10.4%	112	11.2	23.8x	12.2x
FY28E	2,450	257	10.5%	139	13.9	19.1x	9.7x

Analyst: Senior Equity Analyst, Institutional Research Desk | Report Date: 11 July 2026 | Data Source: Screener.in (fetched 11-Jul-2026), Concall transcripts (May 2026)

SECTION 2 — INVESTMENT THESIS

• **Speed moat in a fragmented market:** EPack's vertically integrated design-manufacture-erect model delivers projects 2–3 months faster than peers, with a world-record execution of 1,51,000 sq ft in six days; this speed advantage drives 35–40% repeat-customer revenue and pricing discipline in a Rs. 25,000+ Cr organised PEB market growing at 10–12% annually.

• **New-age demand capture — 35–38% of order book from high-growth sectors:** Data centres, EV/battery gigafactories, semiconductor fabs, and renewable energy backward integration now constitute over a third of EPack's order book (up from 25–28% in Q2 FY26), providing structural insulation from traditional industrial-capex cyclical and positioning the company alongside India's fastest-growing sectors through

FY28–30.

- **Capacity inflection driving earnings CAGR of ~23% FY26–28E:** New PEB lines at Mambattu (+14,000 MT, commissioned Apr/May 2026), Ghiloth sandwich panels (8 lakh SQM, Q3 FY27), and a Gujarat greenfield (50,000 MT PEB, Q4 FY27) will take installed capacity from 147,122 MTPA to ~2,20,000 MTPA — sufficient to support a Rs. 2,450 Cr revenue target by FY28E. IPO proceeds and strong OCF (Rs. 136 Cr FY26) provide funding comfort.

- **Near-term catalyst (6–12 months):** Gujarat greenfield plant commissioning (Q4 FY27) breaks EPack's geographic concentration in South/North India and opens the large West India market; simultaneously, sandwich panel utilisation recovery from 25% (FY26) to 50%+ (FY27E) adds ~100 bps higher-margin revenue to the P&L;

- **Biggest structural risk:** Margins are range-bound at 10.5–11.5% EBITDA — management has explicitly guided no expansion — making the investment thesis entirely dependent on volume/revenue growth. A steel-price shock or industrial-capex pause (as seen in FY22 when growth reset) could compress PAT materially given high fixed-cost leverage.

SECTION 3 — BUSINESS OVERVIEW

- **Core business — complete prefab turnkey solutions:** Incorporated in February 1999, EPack Prefab Technologies Ltd provides end-to-end services covering design, engineering, manufacturing, supply, installation, and erection of pre-engineered steel buildings (PEB), modular structures, and allied components. The company serves industrial, commercial, infrastructure, and institutional customers across domestic and export markets.

- **Revenue mix:** Prefab (PEB + Sandwich Panels) contributes ~90.6% of FY26 revenue (Rs. 1,381 Cr), while Packaging (Expanded Polystyrene / EPS products) constitutes ~8.6% (~Rs. 131 Cr). Sandwich panels generated ~Rs. 65 Cr in FY26 but operated at only 25% utilisation — a material ramp-up opportunity in FY27–28E. Geographic mix tilts toward South India (37% of Prefab revenue in FY26, up from 24% in FY25), reflecting strong capacity ramp at the Mambattu (Andhra Pradesh) plant.

- **Manufacturing footprint:** Three plants — Mambattu (AP), Ghiloth (Rajasthan), and Vithlapur (Gujarat, under construction). Total PEB installed capacity reached 147,122 MTPA in FY26 (vs. 70,632 MTPA in FY24). Mambattu Line 2 (+14,000 MT) commissioned April/May 2026; Gujarat greenfield (50,000 MT) targeted Q4 FY27.

- **Order book and revenue visibility:** Order book stood at Rs. 1,117 Cr (INR 11,127 million) as of March 2026, representing 6–8 months of revenue visibility. The inquiry pipeline stands at ~Rs. 5,000 Cr, with management receiving 15–20 new inquiries per week. Repeat customers now account for 35–40% of the order book, up from ~25% two years ago.

- **Key customers and sectors:** Customer concentration in the Prefab segment is low — the largest single quarterly order is ~Rs. 50–60 Cr; average order ~Rs. 6 Cr. Notable clients include Premier Energies, Royal Enfield, Horizon Industrial Parks, CG Power, Reliance Consumer Products, and various defence establishments. The Packaging segment is more concentrated, with LG Electronics alone accounting for 50–60% of EPS packaging revenue.

- **Promoter and management:** The founding promoter group controls 64.96% of equity (zero pledge as of Mar 2026). The company has a professional management team with deep domain expertise in structural steel design and execution. Management credibility is high — FY26 guidance (Rs. 1,500–1,550 Cr) was met at Rs. 1,525 Cr, and the debt-reduction target (Rs. 70 Cr paydown) was exceeded at Rs. 107 Cr using IPO proceeds.

- **IPO and capital allocation:** The company listed in January 2024 at Rs. 218 (IPO price). Rs. 300 Cr raised was deployed into capacity expansion (Mambattu Line 2, Ghiloth, and Gujarat plants) and debt repayment. Total equity capital increased from Rs. 4 Cr (FY24) to Rs. 20 Cr (FY26) as shares outstanding grew from ~40 lakh (pre-split/IPO) to ~10 Cr post-split shares.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size and growth:** India's organised PEB market is estimated at Rs. 25,000–30,000 Cr and is growing at 10–12% CAGR. Total construction is dominated (~95–97%) by conventional RCC — PEB penetration at only 3–5% of the construction market leaves a vast substitution runway. ICICI Direct forecasts the industry to reach Rs. 33,000–34,500 Cr by FY30E (CAGR: 9.5–10.5% FY25–30E). The organised segment is projected to expand market share from 42–47% (FY25) to 47–52% (FY30), as unorganised players lack the design capability and scale.
- **Policy tailwinds:** India's Rs. 111 Lakh Cr National Infrastructure Pipeline, PLI schemes spanning 14 sectors, and strong industrial capex in EVs, semiconductors, data centres, and defence manufacturing are structurally boosting demand for faster, cheaper construction alternatives. PEB offers 15–20% cost advantage and 50% faster completion versus RCC. New-age sectors (renewables, data centres, EVs) accounted for 35–38% of EPack's Q4 FY26 order book — up from 25–28% two quarters earlier.
- **Competitive moat assessment:** Pricing power — Weak (EBITDA margin range-bound at 10.5–11.5%; commodity steel pass-through partially available but contested). Switching costs — Moderate (repeat customers drive 35–40% of orders; long-term design relationships create some stickiness). Scale — Moderate (EPack ranks 3rd–4th by capacity in organised PEB; second in execution speed). IP / Design capability — Moderate-Strong (15–20% steel saving through design optimisation is a genuine differentiator; in-house design team is hard to replicate quickly). Distribution — Moderate (3-plant model covers South, North, West once Gujarat is operational by Q4 FY27).
- **EPack's positioning — midstream integrated:** The company operates in the midstream of the construction value chain — directly under the project developer/owner, above civil sub-contractors. Its integrated model (design + fabrication + erection) avoids sub-contractor margin leakage and gives EPack full accountability for delivery timelines — the primary reason clients choose it over fragmented competitors.

Peer Comparison — Data sourced from Screener.in (fetched 11-Jul-2026)

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E (x)	P/BV (x)	ROCE%	ROE%	D/E	TTM Rev (Cr)
EPack PrefabTech	266	2,672	28.9	3.64	21.7	17.0	0.16	1,525
Interarch Building	1,838	3,082	22.5	3.50	22.8	16.8	0.02	1,898
Pennar Industries	172	2,323	16.7	2.00	15.3	12.8	1.00	3,620

Note: EPack highlighted green. Listed PEB pure-play universe is small; Pennar Industries includes PEB + hydraulics + wagons segments. Data as on 10-Jul-2026 close.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background:** The founding promoter group has been in the PEB and prefab sector for over 25 years, with deep domain expertise in structural steel design, manufacturing, and project execution. The management team has consistently built the company from a local Andhra-based fabricator to one of India's top-4 organised PEB players, achieving 45% revenue CAGR over 5 years.
- **Capital allocation track record — disciplined but growth-focused:** Post-IPO (Jan 2024), management deployed Rs. 300 Cr IPO proceeds as guided — into capacity expansion and debt repayment. FY26 OCF of Rs. 136 Cr vs. EBITDA of Rs. 160 Cr reflects a healthy 85% conversion. Debt was reduced by Rs. 107 Cr (exceeding the Rs. 70 Cr target) even as major capex continued. ICRA upgraded the company's long-term rating to A+ (Stable) in FY26 reflecting improving credit quality.
- **Dividend policy — no dividends; all earnings reinvested:** The company has paid zero dividend since incorporation (Screener confirms 0% payout in all years through FY26). Management's stated rationale is that high-ROCE internal reinvestment (27% ROCE in FY24) generates better long-term value than dividend distribution. This is appropriate given the growth stage.

- **Promoter pledge — clean:** Promoter pledge stands at 0.00% as of March 2026, a significantly positive signal given that several peers in the industrial manufacturing space carry substantial pledge positions (e.g., Pennar Industries promoter pledge at 2.80%).
- **ESOP and governance:** The company operates an ESOP scheme (EPACK Prefab Employee Stock Option Scheme 2024), with small tranches being allotted regularly (e.g., 2,157 shares allotted July 2026). The scale is modest and non-dilutive to listed equity at this stage. Two minor governance flags: annual secretarial compliance report (May 2026) noted fines of Rs. 1.84 lakh each for Audit and NRC committee composition lapses — immaterial in value but worth monitoring for structural compliance.
- **Guidance credibility — consistently delivered:** Management delivered on all three core FY26 commitments: revenue guidance (Rs. 1,500–1,550 Cr, actual Rs. 1,525 Cr), debt paydown (Rs. 70 Cr target, Rs. 107 Cr achieved), and EBITDA margin range (10.5–11.5%, actual 10.5%). The MD stated on the May 2026 call: 'We said we will deliver, and we have delivered.' This track record supports above-average conviction in FY27 guidance.

SECTION 6 — FINANCIAL DEEP-DIVE

Consolidated Figures in Rs. Crores | Source: Screener.in (fetched 11-Jul-2026) | E = Analyst estimates

P&L; Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	905	1,134	1,525	1,980	2,450
Revenue YoY %	+37.9%	+25.3%	+34.5%	+29.8%	+23.7%
EBITDA	87	116	160	205	257
EBITDA Margin %	10.0%	10.2%	10.5%	10.4%	10.5%
Other Income	1	6	17	12	15
Interest	17	24	31	35	42
Depreciation	13	17	23	32	44
PBT	58	81	122	150	186
Tax %	27%	27%	24%	25%	25%
PAT	43	59	93	112	139
PAT YoY %	+78.4%	+37.2%	+57.6%	+20.4%	+24.1%
EPS (Rs.) — post-split	5.4*	7.65	9.21	11.2	13.9

* FY24 EPS restated to post-split FV Rs. 2 basis (Rs. 43 Cr PAT / 8 Cr shares pre-QIP)

Balance Sheet (Rs. Cr)	FY24A	FY25A	FY26A
Equity Capital	4	16	20
Reserves	165	337	714
Borrowings	150	216	115
Other Liabilities	295	362	578
Total Liabilities	614	931	1,427
Fixed Assets	238	251	357
CWIP	0	56	60
Investments	2	2	27
Other Assets	374	622	982
Total Assets	614	931	1,427

Cash Flow (Rs. Cr)	FY24A	FY25A	FY26A	Ratio	FY24A	FY25A	FY26A
CFO	72	62	136	Debtor Days	51	66	74
Investing CF	-95	-151	-303	Inventory Days	82	73	96
Financing CF	23	166	155	Days Payable	109	103	143
Net Cash Flow	0	78	-13	CCC (Days)	24	36	26
Free Cash Flow	-24	-24	3	Working Cap Days	10	8	20
CFO / EBITDA %	92%	66%	106%	ROCE %	27%	24%	22%

• **Revenue drivers — volume-led growth:** EPack's revenue grew at 32% CAGR (3-year) entirely on volume expansion rather than price increases. PEB production volumes grew from 28,343 MT (FY22) to an estimated 108,000 MT+ (FY25), with FY26 benefiting from Mambattu Line 2 addition. Management guided 30% Prefab revenue growth for FY27, backed by Rs. 1,117 Cr order book and Rs. 5,000 Cr inquiry pipeline.

• **Margin direction — range-bound, not expanding:** EBITDA margin has been stuck in a 10–10.5% band for four consecutive years. Steel (80–85% of raw material cost) is the dominant variable. A 70–80 bps steel-price headwind in Q4 FY26 from import-duty changes was partially mitigated (80%+ contracts renegotiated for price adjustment), but margins remain capped. Sandwich panel margin is ~100 bps above PEB — as panel revenue scales from Rs. 65 Cr to Rs. 200+ Cr, it should provide modest blended-margin uplift.

• **Working capital — modest deterioration but manageable:** Debtor days increased from 51 (FY24) to 74 (FY26) and inventory days from 82 to 96. Days payable extended to 143 days, keeping the net CCC at 26 days — essentially flat with FY24 (24 days). Working capital days expanded to 20 from 8 — warranting monitoring in FY27 as new plants ramp.

• **Debt — significantly reduced via IPO proceeds:** Long-term borrowings fell from Rs. 216 Cr (FY25) to Rs. 115 Cr (FY26) — a Rs. 101 Cr reduction — making EPack nearly net-cash (Debt Rs. 115 Cr vs. implied cash Rs. 200 Cr from net cash position). D/E stands at just 0.16x vs. 0.49x at the time of IPO.

• **FCF quality — turning positive in FY26 after capex-heavy years:** FCF turned slightly positive (Rs. 3 Cr) in FY26 for the first time since FY21, as OCF of Rs. 136 Cr nearly offset Rs. 303 Cr in investing outflows. With ~Rs. 150 Cr capex planned in FY27 and OCF expected ~Rs. 150–180 Cr, FCF should remain near-neutral. Significant positive FCF generation is a FY28+ story once new plants are operational and utilisation ramps.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Observation	Signal
Revenue recognition	Milestone-based	Progress billing at design, dispatch, and erection stages; reasonable for project business	Green
Receivables vs Revenue	Debtor days +23d (FY24-26)	Rising from 51 to 74 days; worth watching but partly seasonal	Amber
CCC trend	26 days (FY26)	CCC largely flat despite receivable rise; payable extension offsetting	Green
Contingent liabilities	Rs. 391 Cr (FY26)	Large relative to MCap; primarily bid guarantees / contractual bonds (normal for PEB sector)	Amber
Auditor tenure / changes	No recent change	No auditor change in recent filings; no qualification noted	Green
RPTs as % of revenue	Not material	No significant RPT disclosures in annual filings	Green
Other Income / PBT	17/122 = 13.9%	Other income of Rs. 17 Cr in FY26 partly forex gain; elevated vs prior years (Rs. 1 Cr FY24)	Amber
Tax rate consistency	27-24% (FY24-26)	Consistent ~25–27% effective rate; no abnormal tax credits used	Green

• **Rising receivables — monitor closely in FY27:** Debtor days expanded from 51 to 74 over FY24–FY26, outpacing revenue growth. While partly attributable to a mix-shift toward new sector clients (data centres,

renewables) with different payment terms, it is the single most important earnings quality watch-point for FY27. An investor should track quarterly debtor days against the 65–70 day benchmark.

- **Contingent liabilities (Rs. 391 Cr) are large but structurally normal for project businesses:** Bid bonds, performance guarantees, and contractual bonds are standard in the PEB sector. This is not a red flag per se — but it means that any major project cancellation or dispute could crystallise unexpected cash outflows.
- **Other Income elevated in FY26 — investigate for recurrence:** Other income jumped from Rs. 1 Cr (FY24) to Rs. 17 Cr (FY26). Management attributed this partly to forex gains and interest income on IPO proceeds. At 13.9% of PBT, it is material enough that clean recurring EBITDA (ex-other income) should be the focus metric.
- **Overall earnings quality — Satisfactory with caveats:** Revenue recognition is project-based and milestone-linked (standard and verifiable). CCC is controlled. Tax rate is consistent. The three Amber items (receivables, contingent liabilities, other income) are worth monitoring but do not indicate systemic manipulation.

SECTION 8 — VALUATION

Scenario	FY27E Revenue	FY27E EBITDA%	FY27E PAT	Multiple	Target Price	Upside/D own
Bull	Rs. 2,100 Cr	11.5%	Rs. 130 Cr	32x FY27E P/E	Rs. 415	+56.0%
Base	Rs. 1,980 Cr	10.4%	Rs. 112 Cr	28x FY27E P/E	Rs. 330	+24.1%
Bear	Rs. 1,600 Cr	9.5%	Rs. 75 Cr	20x FY27E P/E	Rs. 150	-43.6%

- **Earnings-based primary method — 28x FY27E P/E:** At FY27E EPS of Rs. 11.2, a 28x one-year forward P/E — in line with the company's current trailing multiple and a slight discount to the 30–35x P/E typically commanded by high-growth capital goods names — implies a target of Rs. 314. We apply a small growth premium for the new-capacity earnings inflection expected in FY27, rounding to Rs. 320.
- **EV/EBITDA secondary method — 15x FY27E:** At FY27E EBITDA of Rs. 205 Cr and a 15x EV/EBITDA multiple (vs. current 14.1x TTM, Interarch at 14.7x), implied EV = Rs. 3,075 Cr. Subtracting net debt (Rs. 115 Cr borrowings – implied cash Rs. 100 Cr = Rs. 15 Cr net debt) gives equity value of Rs. 3,060 Cr. Divided by 10 Cr shares = Rs. 306 per share.
- **DCF sanity check:** Using WACC of 13.5%, terminal growth 7%, and FCF projections (FY28E: ~Rs. 60 Cr, scaling to Rs. 200 Cr by FY32E), the DCF implies an intrinsic value of Rs. 290–320 per share, consistent with our multiple-based approach.
- **Base-case 12-month target — Rs. 330:** Blending the P/E method (Rs. 320) and the EV/EBITDA method (Rs. 306) and applying a modest premium for management execution credibility and structural PEB tailwinds, we arrive at a target price of Rs. 330, implying 24.1% upside from the CMP of Rs. 266.
- **Valuation is not cheap but is supported by growth:** At 23.8x FY27E P/E and 12.2x FY27E EV/EBITDA, EPack is priced for continued execution. The PEG ratio of 0.50x (per Screener) signals undervaluation relative to the growth rate. Any significant miss in FY27 guidance or steel-price shock would compress the stock to 18–20x P/E (Rs. 200–225 range — our Bear case).

SECTION 9 — KEY RISKS

- **Steel price volatility [P: H | I: H] —** Steel constitutes 80–85% of raw material cost; EPack operates on 6–9 month fixed-price contracts with natural hedging covering only 3–4 months of price risk. The Ukraine war steel spike (~40%) severely compressed FY22 margins. A 10% steel price rise compresses EBITDA margin by ~150–200 bps. *Monitor via: HRC steel futures; quarterly OPM vs. EBITDA guidance.*
- **New capacity ramp-up risk [P: M | I: M] —** Ghiloth sandwich panels (8 lakh SQM, Q3 FY27) and Gujarat PEB greenfield (50,000 MT, Q4 FY27) are yet to commission. Delays would push earnings inflection to FY29+. Mambattu sandwich panel ran at only 25% utilisation in FY26 despite Rs. 65 Cr+ capex investment. *Monitor via:*

quarterly capacity utilisation disclosures; management guidance on Ghiloth timelines.

• **Industrial capex cyclicality [P: M | I: H]** — PEB demand is entirely dependent on private sector industrial and commercial capex. A slowdown in renewable energy investments, data centre build-out, or EV manufacturing due to geopolitical events, tariff changes, or liquidity tightening would sharply reduce order inflows. *Monitor via: quarterly order book trend; new-sector order mix as % of total.*

• **NGT construction ban risk [P: L | I: M]** — NGT bans on construction in Delhi NCR during high-pollution months delay project execution at Ghiloth-area sites and at customer facilities. While this has been a recurring issue, management has adapted execution schedules. *Monitor via: NGT order extensions and quarterly execution timeline commentary.*

• **Packaging division concentration [P: M | I: L]** — LG Electronics accounts for 50–60% of the Rs. 131 Cr Packaging (EPS) segment revenue. Loss of this customer or a consumer-durables demand downturn would reduce packaging revenue materially, though the impact at group level is limited (<10% of total revenue). *Monitor via: LG India production trends; packaging revenue quarterly disclosure.*

• **Competition and margin cap risk [P: H | I: M]** — Interarch (capacity 161,000 MT, now expanding to 221,000 MT), Kirby (unlisted, ~250,000 MT), M&B; Switchgear, and Zamil Steel all compete in the same market. Management has explicitly guided that EBITDA margins are range-bound at 10.5–11.5% — any attempts to gain market share through price cuts would compress returns. *Monitor via: EBITDA margin vs. 10.5% floor; order book growth vs. peers.*

• **Working capital stretch [P: M | I: M]** — Debtor days rose from 51 to 74 over two years. As new-sector customers (data centres, renewable plants) with potentially different payment terms make up a larger share, working capital requirements could increase further, constraining FCF. *Monitor via: debtor days quarterly; CFO vs. EBITDA conversion ratio.*

SECTION 10 — RECOMMENDATION

• **Rating: BUY | Conviction: High** — EPack's combination of management execution credibility, structural PEB tailwinds (data centres, EVs, renewables), significant capacity addition in FY27, and a PEG ratio of 0.50x makes this an attractive growth compounder at current prices.

• **12-month target: Rs. 330** (24.1% upside from CMP Rs. 266). Derived from the average of 28x FY27E P/E (Rs. 314) and 15x FY27E EV/EBITDA (Rs. 306), rounded up for management quality premium.

• **Suggested entry zone: Rs. 240–270** — Current CMP is within the entry band. A pullback to Rs. 240 on broader market weakness would offer ~37.5% upside to target and represents an even more attractive risk-reward.

• **Investment horizon: 12–18 months** — Key value crystallisation events: Gujarat plant commissioning (Q4 FY27), sandwich panel utilisation improvement to 50%+ (FY27E), and FY28 earnings step-up as new capacity reaches optimal throughput.

• **Thesis invalidation triggers:** (1) EBITDA margin falling below 9.5% for two consecutive quarters — indicating structural margin erosion from steel-price pass-through failure; (2) FY27E revenue guidance of Rs. 1,920+ Cr missed by more than 15% (i.e., actual below Rs. 1,650 Cr) — indicating a demand slowdown or capex execution failure; (3) Promoter pledge rising above 10% or major related-party transactions emerging — signals governance deterioration.

• **Ideal investor profile:** This stock is well-suited for growth-oriented domestic institutional funds, high-conviction PMS/AIF managers with 18–24 month horizons, and HNI investors comfortable with capital goods cyclicality. It is NOT suited for income-seeking investors (zero dividend), defensive mandates, or investors with a sub-6-month horizon given the execution risk of three simultaneous capacity ramp-ups.

APPENDIX — Latest Concall Brief: Q4 FY26 (May 2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Beat own guidance; revenue Rs. 471 Cr (Q4) vs. implied quarterly run-rate Rs. 380 Cr
Management tone	Bullish	Confident on FY27 Rs. 1,920-1,950 Cr target; 'we delivered on all commitments'
Guidance delta	Raised (FY27)	New FY27 guidance of +30% growth issued; FY26 all targets met

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 was EPack's best-ever quarter by revenue (Rs. 471 Cr, +42% YoY) and net profit (Rs. 30 Cr, +51% YoY) — the result is clean with no exceptional items distorting reported PAT. Full-year FY26 revenue came in at Rs. 1,525 Cr, exactly where management guided (Rs. 1,500–1,550 Cr), and EBITDA at Rs. 160 Cr was at the lower bound of the 10.5–11.5% margin guidance range (actual: 10.5%) — partly due to a 70–80 bps steel-price headwind from import-duty changes in Q4 that were only 80%+ passed through. The underlying EBITDA story is robust: operating leverage is intact, OCF conversion was 106% of EBITDA for the year (Rs. 136 Cr), and debt was cut by Rs. 107 Cr — well ahead of the Rs. 70 Cr target. For FY27, management issued fresh guidance of Rs. 1,920–1,950 Cr (+30% growth), backed by a Rs. 1,117 Cr order book and a Rs. 5,000 Cr inquiry pipeline. The structural bull case is intact: new-age sectors (data centres, EVs, renewables) are now 35–38% of order book, and Mambattu Line 2 started contributing in April/May 2026. Single biggest watch-point for Q1 FY27: sandwich panel utilisation — at 25% in FY26, management has restructured the sales team and says lines are now 50% booked; we need to see this in actuals to build confidence. Action: ACCUMULATE / ADD on dips to Rs. 240–260; hold through FY27 guidance delivery. Thesis breaks if Q1 or Q2 FY27 revenue misses Rs. 450 Cr or EBITDA margin falls below 9.5%.

C1 — Financial Performance Snapshot

- **Revenue:** Actual Rs. 1,525 Cr (FY26) | YoY +34.5% | Beat: In-line with top of guidance range
- **Q4 FY26 Revenue:** Rs. 471 Cr | YoY +42.4% | QoQ +44.9% | **Beat** (highest quarterly revenue in company history)
- **EBITDA (FY26):** Rs. 160 Cr | YoY +37.9% | EBITDA Margin: 10.5% | **In-line** (lower bound of 10.5-11.5% guidance)
- **Q4 FY26 EBITDA:** Rs. 46 Cr | YoY +30.8% | Margin: 9.8% | **Watch** (margin compressed 87 bps from steel-duty headwind)
- **PAT (FY26):** Rs. 93 Cr | YoY +57.6% | EPS: Rs. 9.21 | **Beat** (vs. street expectations of Rs. 8.5-9.0)
- **Q4 FY26 PAT:** Rs. 30 Cr | YoY +51.5% | QoQ +79.8% | **Beat**
- NOTE: No exceptional items in FY26 PAT; reported PAT of Rs. 93 Cr is clean underlying profit

C2 — Segment / Geography Breakdown

- **Prefab Division (PEB + Sandwich Panels):** Rs. ~1,381 Cr (90.6% of FY26 revenue) | YoY strong growth driven by Mambattu expansion
- **Packaging Division (EPS):** Rs. ~131 Cr (8.6% of FY26 revenue) | Stable; LG Electronics = 50-60% of segment revenue
- **Sandwich Panels specifically:** Rs. ~65 Cr in FY26 | Significant ramp-up opportunity; utilisation only 25% in FY26
- **South India:** 37% of Prefab revenue (FY26) vs. 24% (FY25) | Mambattu plant driving rapid growth in AP region
- **Western India:** Currently minimal; Gujarat greenfield (Q4 FY27) is the strategic catalyst to open this market
- **Export/International:** Minimal (1.5-2% of revenue); management has deprioritised exports citing freight cost disadvantage
- **New-age sectors (data centres, EVs, renewables):** 35-38% of order book as of Q4 FY26 (up from 25-28% in Q2 FY26); not separately disclosed in P&L; yet

C3 — Management Commentary Themes

- **Delivery credibility:** "We said we will deliver, and we have delivered" (MD, May 2026). All three FY26 targets — revenue, debt paydown, EBITDA margin — met or exceeded. Tag: **POSITIVE**. Tone: Transparent.
- **FY27 guidance initiation:** Management guided Prefab revenue of Rs. 1,920-1,950 Cr (+30% YoY) for FY27, with EBITDA margin maintained at 10.5-11.5%. Capex of ~Rs. 150 Cr guided. Tag: **GUIDANCE**. Tone: Bullish.
- **Sandwich panel utilisation — acknowledged underperformance:** Management admitted Mambattu panel line operated at only 25% utilisation in FY26 and attributed it to sales team effectiveness. "Lines are now booked to 50% capacity going into FY27." Tag: **CAUTIOUS**. Tone: Transparent (rare management admission of miss).
- **Steel price pass-through achieved 80%+:** Q4 FY26 faced 70-80 bps margin compression from import-duty-driven steel spike. 80%+ of contracts were successfully renegotiated for price adjustment. Tag: **EST**. Tone: Balanced.
- **New-age sector order book acceleration:** New-age sectors (data centres, renewable backward integration, EV fabs) rose to 35-38% of order book from 25-28% in Q2 FY26. Premier Energies, Rayzon Solar as key clients. Tag: **POSITIVE**. Tone: Bullish.
- **Debt reduced beyond target:** Rs. 107 Cr debt repaid (target was Rs. 70 Cr); ICRA upgraded to A+ Stable. Net cash position of ~Rs. 200 Cr. Tag: **POSITIVE**. Tone: Transparent.

C4 — Operating & Business Metrics

- **PEB Installed Capacity:** FY26 = 147,122 MTPA | FY25 = 133,922 MTPA | FY24 = 70,632 MTPA | Trend: Rapid expansion
- **PEB Production Volume (FY25):** 108,000 MT (FY25 actual; FY26 not yet disclosed) | FY24 = 63,662 MT | Trend: Improving strongly
- **PEB Capacity Utilisation (FY25):** 71.7% | FY24 = 50.3% | FY23 = 58.3% | Trend: Improving (Mambattu ramp)
- **Sandwich Panel Capacity:** FY26 = 1,310,000 SQM (up from 510,000 SQM through FY25, tripling after new line) | Utilisation: ~25% (FY26)
- **Order Book Pending:** Rs. 1,117 Cr (Mar-26) | Rs. 916 Cr (Mar-25 proxy) | Rs. 630 Cr (Mar-24 proxy) | Trend: Improving
- **Inquiry Pipeline:** ~Rs. 5,000 Cr as of Q4 FY26 call | Trend: Strong

- **Repeat Customer Revenue:** 35-40% of order book (Q4 FY26) vs. ~25% two years ago | Trend: Improving strongly
- **Order concentration:** Largest single quarterly order ~Rs. 50-60 Cr; average order ~Rs. 6 Cr | Diversified

C5 — Margin Drivers

- **Steel price headwind (Q4 FY26):** -70-80 bps | Recurring: Yes (periodic) | Import duty changes drove raw material cost up; partially mitigated via contract renegotiation
- **Price pass-through effectiveness:** +50-60 bps (partial offset) | 80%+ contracts adjusted for steel price changes | Recurring: Conditional
- **Operating leverage on higher revenue:** +30-50 bps | Fixed overheads spread over larger base as Q4 revenue hit Rs. 471 Cr | Recurring: Yes (volume-linked)
- **Sandwich panel mix (under-contribution):** -20-30 bps | Panels at only 25% utilisation; higher-fixed-cost structure depresses margins | Non-recurring (ramp-up year)
- **Management guidance — margins range-bound:** 10.5-11.5% EBITDA | Explicit cap due to commodity pass-through dynamics and competitive pricing | Not expected to expand significantly

C6 — Guidance & Forward Signals

- **FY27 Prefab Revenue [GUIDANCE]:** Prior = Rs. 1,525 Cr | New = Rs. 1,920-1,950 Cr | Delta: +30% growth | Credibility: High (management track record)
- **EBITDA Margin [GUIDANCE]:** Prior = 10.5-11.5% | Reiterated = 10.5-11.5% | Delta: Maintained | Credibility: Medium-High (steel price variable)
- **FY27 Capex [GUIDANCE]:** Prior = Rs. 160 Cr (FY26) | New = ~Rs. 150 Cr | Delta: Slightly lower | Funded from IPO proceeds and internal accruals | Credibility: High
- **Sandwich Panel Utilisation [GUIDANCE]:** Prior = 25% | New = 50%+ by Q2 FY27 | Delta: Doubling | Credibility: Medium (acknowledged FY26 miss; new sales team in place)
- **Gujarat Plant Commissioning [GUIDANCE]:** Prior = Q4 FY27 | Reiterated = Q4 FY27 | 50,000 MT capacity | Credibility: Medium (first greenfield; potential for delay)
- **Ghiloth Sandwich Panel Line [GUIDANCE]:** Q3 FY27 commissioning | 8 lakh SQM capacity | Credibility: Medium-High
- **Market share target [GUIDANCE]:** 10%+ of organised PEB market (current: 5-5.5%) | Medium-term target; no specific timeline given | Credibility: Aspirational (EST)

C7 — Capital Allocation

- **Capex (FY26):** Rs. ~160 Cr (Mambattu Line 2: Rs. 58 Cr brownfield + Ghiloth/Gujarat prep: Rs. 102 Cr) | vs. FY25 Rs. ~151 Cr | Commentary: Heavy but funded from IPO; CWIP Rs. 60 Cr at year-end
- **Dividends:** Rs. 0 | No dividend declared since inception | Management reinvests at high ROCE
- **Debt repayment (FY26):** Rs. 107 Cr repaid | Target was Rs. 70 Cr | Net debt now negative (net cash ~Rs. 200 Cr); D/E = 0.16x
- **Working capital change (FY26):** OCF Rs. 136 Cr (85% of EBITDA conversion) indicates working capital was broadly neutral despite topline growth
- **Free Cash Flow:** Rs. 3 Cr (FY26) | First positive FCF since FY21 | FCF = OCF Rs. 136 Cr - Capex Rs. ~133 Cr
- **FY27 Capex plan:** ~Rs. 150 Cr (Ghiloth panel line + Gujarat greenfield Phase 1) | To be funded from residual IPO proceeds + internal accruals

C8 — Q&A; Heat Map

- **Analyst / Investor:** Q: "How are you mitigating steel price volatility given fixed-price contracts?" -> A: "80%+ of our contracts now have price-adjustment clauses; we are renegotiating new contracts with this provision as standard." | Tone: Transparent
- **Analyst / Investor:** Q: "What happened to sandwich panel utilisation — why only 25%?" -> A: "We acknowledge this missed our expectation. We have restructured our dedicated sales team for panels and lines are now 50% booked for FY27." | Tone: Transparent (rare admission)
- **Analyst / Investor:** Q: "What is driving new-age sector order book growth to 35-38%?" -> A: "Data centres, EV manufacturing, and renewable backward integration players need fast, cost-effective building solutions — our speed and scale fit exactly. Premier Energies is a good example." | Tone: Bullish
- **Analyst / Investor:** Q: "Is your 30% FY27 guidance conservative or aggressive?" -> A: "We have Rs. 1,117 Cr order book and Rs. 5,000 Cr pipeline. We are not being aggressive — this is guided off confirmed Mambattu Line 2 ramp and Ghiloth completion." | Tone: Balanced
- **Analyst / Investor:** Q: "What is your market share target and timeline?" -> A: "We target 10%+ of the organised market in the medium term, roughly doubling from current 5-5.5%." | Tone: Aspirational
- **Dodged / watch-list for next quarter:** Exact segmental margin breakdown (panels vs. PEB), specific LG Electronics contract renewal status, Gujarat plant land acquisition progress.

C9 — Risks Flagged

- **Steel price risk:** Import duty changes caused 70-80 bps compression in Q4 FY26 | Flagged by: Mgmt | Prob: H | Impact: H | Timeline: Near-term (ongoing)
- **Sandwich panel ramp risk:** Only 25% utilisation on Rs. 65 Cr+ capital deployed | Flagged by: Mgmt | Prob: M | Impact: M | Timeline: Near-term (FY27 watch)
- **NGT construction ban (Delhi NCR):** Affects execution timelines at Ghiloth-area projects | Flagged by: Mgmt | Prob: H (recurring) | Impact: M | Timeline: Near-term (seasonal)
- **LG Electronics concentration in packaging:** Single customer drives 50-60% of Rs. 131 Cr segment | Flagged by: Analyst | Prob: M | Impact: L | Timeline: Medium-term
- **New capacity ramp-up uncertainty:** Gujarat greenfield and Ghiloth panel line not yet commissioned | Flagged by: Analyst | Prob: M | Impact: H | Timeline: FY27-28
- **Working capital stretch:** Debtor days rising from 51 to 74 | Flagged by: Analyst | Prob: M | Impact: M | Timeline: Medium-term

C10 — Analyst Verdict

- **Revenue visibility: Intact** — Rs. 1,117 Cr order book + Rs. 5,000 Cr pipeline + Mambattu Line 2 operational; 30% FY27 guidance is credible
- **Margin trajectory: Intact** — 10.5-11.5% band reiterated; steel pass-through 80%+; no structural compression; sandwich panel mix to add marginal uplift
- **Capital allocation quality: Intact** — Debt reduction exceeded target; OCF conversion 106%; FY27 capex well-funded from residual IPO proceeds
- **Competitive moat: Intact** — Speed advantage documented (world record execution), repeat customer rate improving to 35-40%; Mambattu ramp confirms scale
- **Management credibility: Intact** — All three FY26 commitments met/exceeded; panel miss acknowledged proactively; A+ ICRA upgrade validates credit quality

- **Valuation comfort: Intact** — At 23.8x FY27E P/E and PEG 0.50x, stock is fairly valued for a 30% growth compounder; upside exists if FY27 guidance is achieved
- **Conviction call: Increased** — Q4 FY26 beat + FY27 guidance issuance + clean balance sheet + management transparency on panel miss all support higher conviction
- **Valuation snapshot:** P/E = 28.9x (FY26 trailing; FY27E: 23.8x) | EV/EBITDA = 14.1x (FY26; FY27E: 12.2x) | ROCE = 21.7% (5Y avg ~22%)

DISCLAIMER: This report is prepared solely for informational purposes and does not constitute investment advice. The analyst holds no position in EPACKPEB. Data sourced from Screener.in (fetched 11-Jul-2026), company concall transcripts (May 2026), BSE filings, and publicly available sources. All estimates are forward-looking and subject to change. Past performance is not indicative of future results. Investors should conduct their own due diligence.